



Agenda Item 6: Fraud in an Audit of Financial Statements

IAASB Main Agenda
December 2020



International Auditing
and Assurance
Standards Board

Objectives and Order of Discussion



Objectives:

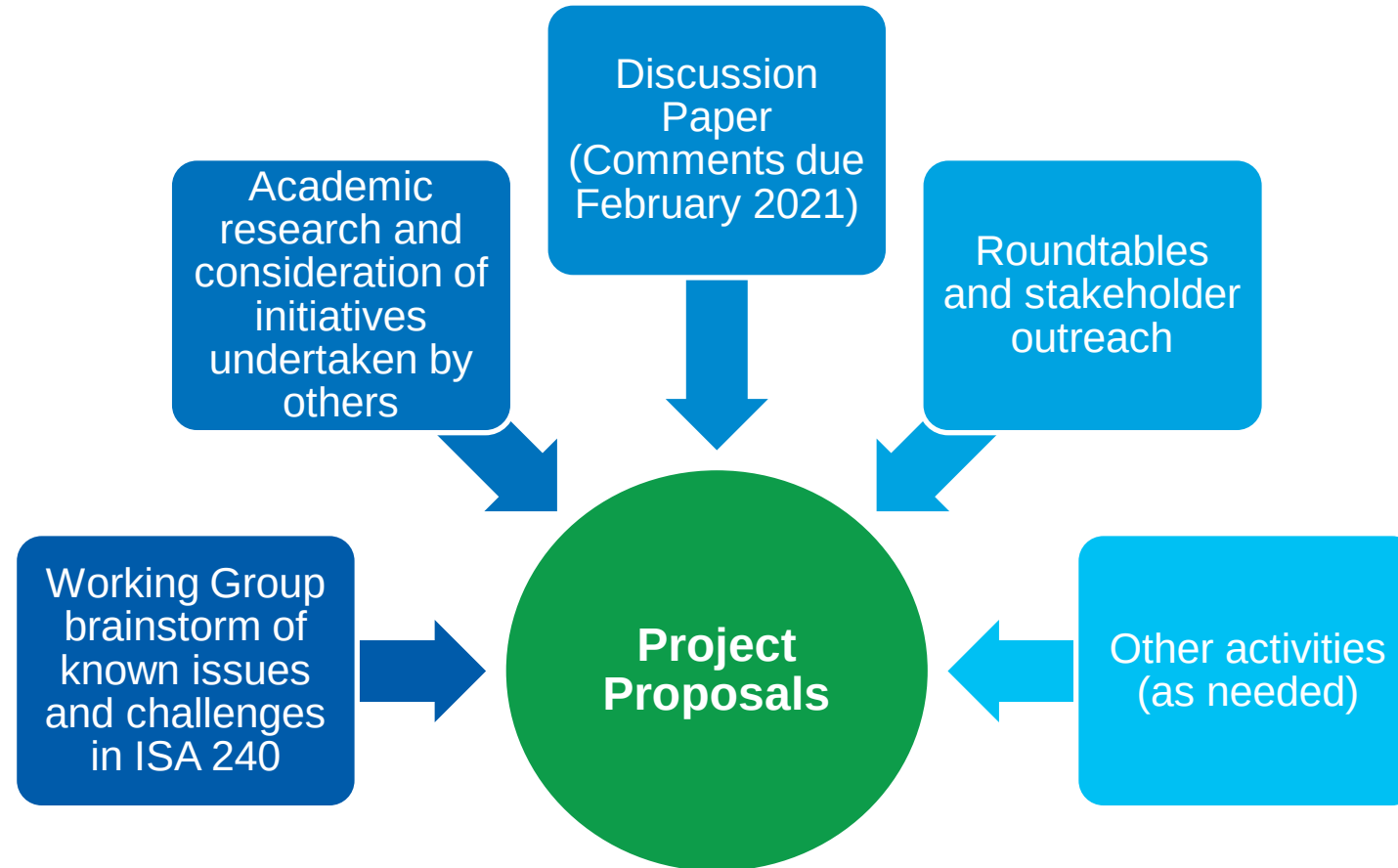
- Provide the Board with an update on information-gathering and brainstorming activities performed since the August 2020 meeting (**provided in Agenda Item 6 Fraud Issues Paper**)
- Obtain the Board's direction on the Fraud Working Group's preliminary views on the issues and challenges identified to date with regard to specific requirements within ISA 240



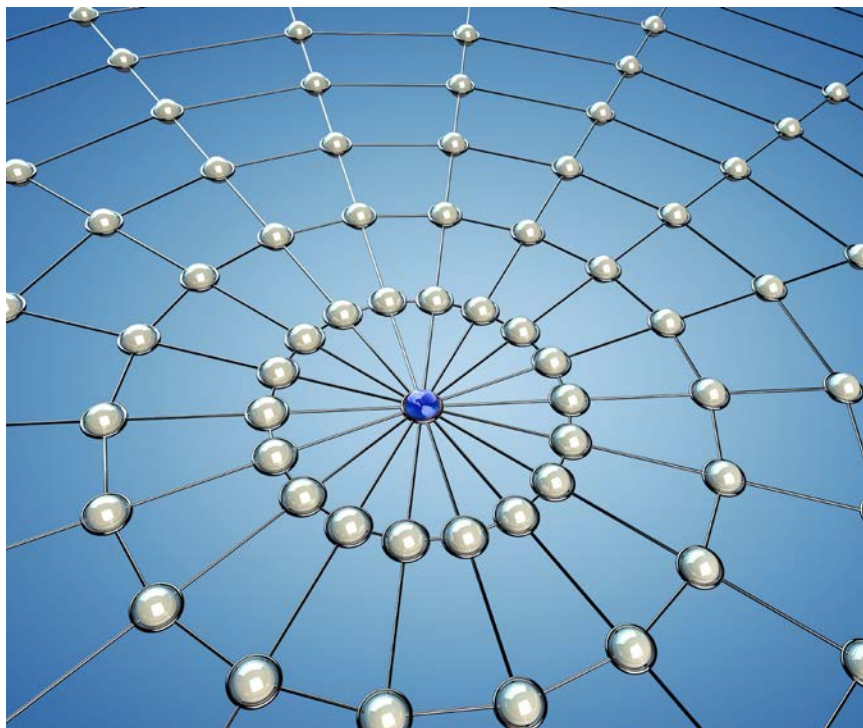
Order of Discussion:

- Working Group Chair introduction and brief summary of activities performed (**comprehensive summary provided in Agenda Item 6 Fraud Issues Paper**)
- IAASB Staff update on other activities performed since posting of Board papers (not included in Agenda Item 6 Fraud Issues Paper)
- Board Discussion on preliminary Working Group views on specific issues and challenges identified in ISA 240

Information-Gathering Activities for Fraud



Additional Outreach Performed and Planned



- Information-gathering activities and outreach performed to date is summarized in the Fraud issues paper
- Additional outreach performed since posting of Board papers:
 - Investor outreach
 - South Africa CRUF meeting
 - UK CRUF meeting
- Scheduled outreach
 - Tapestry Networks Audit Committee outreach (Scheduled for February 5, 2021)
- Continued outreach with various stakeholder groups once comment letters are received

FRC Consultation on Proposed Revision of ISA (UK) 240

- The FRC launched a consultation on the proposed revision of its UK auditing standard ISA (UK) 240
- Some changes proposed which were not explicitly discussed in the IAASB's Discussion Paper or Working Group brainstorm meeting:
 - Requirement for the auditor to remain alert for conditions that indicate a record or document may not be authentic.
 - Requirement for auditor to inquire with those responsible for dealing with allegations of fraud.
- Working Group will further consider UK work in tandem with responses to the DP



Questions for the Board (Slide 1 of 6)

The Board is asked for its direction on the preliminary views expressed for the following theme (detailed in table in Section IV of the Fraud Issues Paper):

#1. Rebuttal of presumed risk of material misstatement due to fraud in revenue recognition.



Questions for the Board (Slide 2 of 6)

The Board is asked for its direction on the preliminary views expressed for the following theme (detailed in table in Section IV of the Fraud Issues Paper):

#2. Clarify the extent of journal entry testing required.



Questions for the Board (Slide 3 of 6)

The Board is asked for its direction on the preliminary views expressed for the following theme (detailed in table in Section IV of the Fraud Issues Paper):

#3(a)-(b). Supplemental audit requirements (additional to ISA 240) in other jurisdictions.



Questions for the Board (Slide 4 of 6)

The Board is asked for its direction on the preliminary views expressed for the following themes (detailed in table in Section IV of the Fraud Issues Paper):

Themes #4-6:

- #4. Other audit procedures required in response to risk of management override of controls beyond journal entry testing (separately addressed in theme #2)
- #5. Clarity around procedures required when fraud is suspected or identified
- #6. Fraud Brainstorming

Questions for the Board (Slide 5 of 6)

The Board is asked for its direction on the preliminary views expressed for the following themes (detailed in table in Section IV of the Fraud Issues Paper):

Themes #7-9:

- #7. Unpredictability procedures
- #8. Whistleblower hotline
- #9. Emphasize certain fraud risks more clearly in ISA 240

Questions for the Board (Slide 6 of 6)

The Board is asked whether there are any other matters the Fraud Working Group should consider as it continues with its information-gathering activities as they relate to ISA 240 and its requirements for purposes of proposing a way forward in September 2021.





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